

Understanding Market Liquidity

Market liquidity refers to the ease with which assets can be bought or sold without causing a significant impact on the asset's price. Highly liquid markets have many participants and narrow bid-ask spreads. Illiquid markets, by contrast, may have wider spreads and less frequent trading activity.

In equities, liquidity often depends on trading volume and market depth. In foreign exchange, major currency pairs like EUR/USD exhibit extremely high liquidity. Liquidity is a cornerstone concept for both risk management and efficient price discovery.